

OCR

Oxford Cambridge and RSA

GCE

Economics

H460/01: Microeconomics

A Level

Mark Scheme for June 2026

Predicted Paper – Advanced Difficulty

Subject Specific Marking Instructions**INTRODUCTION**

Your first task as an Examiner is to become thoroughly familiar with the material on which the examination depends. This material includes the specification, especially the assessment objectives; the question paper and its rubrics; and the mark scheme. You should ensure that you are familiar with all relevant administrative procedures.

USING THE MARK SCHEME

This Mark Scheme is a working document. It is not exhaustive and does not provide 'correct' answers. It is an integral part of the process that begins with the setting of the question paper and ends with the awarding of grades. In your marking you will encounter valid responses which are not covered by the Mark Scheme: these must be credited. Always be prepared to use the full range of marks.

ASSESSMENT OBJECTIVES

AO1 – Demonstrate knowledge of terms/concepts and theories/models to show an understanding of the behaviour of economic agents and how they are affected by and respond to economic issues.

AO2 – Apply knowledge and understanding to various economic contexts to show how economic agents are affected by and respond to economic issues.

AO3 – Analyse issues within economics, showing an understanding of their impact on economic agents.

AO4 – Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements relating to economic issues.

Question	Answer	Mark	Guidance
1 (a)	Explain what is meant by a 'contestable market'. A market where there are low barriers to entry and exit (1), so the threat of competition from potential entrants disciplines the behaviour of existing firms (1). Accept: reference to 'hit-and-run' entry; relative ease of entering and exiting the market.	2	Annotate with tick.

Question	Answer	Mark	Guidance
1 (b)	Explain, using an appropriate diagram, the likely effect of the expansion of Aldi and Lidl on the pricing behaviour of the Big Four supermarkets. Up to 2 marks for diagram showing: • kinked demand curve for a Big Four firm (1) • OR market diagram with demand shifting left / supply shifting right (1) Up to 2 marks for explaining: • Aldi and Lidl's low-cost model puts competitive pressure on the Big Four (1) • Big Four respond with price cuts, price-matching schemes, and loyalty-scheme pricing to retain customers (1) • reduced market power → lower supernormal profits in the long run (1)	4	Reward alternative diagrams — kinked demand, AR/MR, or market S/D. Diagram must be accurately labelled and linked to analysis.

Question	Answer	Mark	Guidance
1 (c)(i)	Calculate the combined percentage-point change in the market share of Aldi and Lidl between 2015 and 2024. Correct answer: +8.6 percentage points	2	Accept +8.6pp, 8.6 percentage points. Do not accept '8.6%' without 'percentage points' — this is a common error.

Question	Answer	Mark	Guidance
	Working: $(10.1 + 8.2) - (5.6 + 4.1) = 18.3 - 9.7 = +8.6\text{pp}$ 1 mark for correct method; 1 mark for correct final answer.		Allow 1 mark for correct method with arithmetic error.

Question	Answer	Mark	Guidance
1 (c)(ii)	Calculate, to one decimal place, the four-firm concentration ratio for the UK grocery market in 2024 using the four retailers with the largest market shares in Fig. 1. Correct answer: 65.9% (or 65.9) Working: Tesco (27.6) + Sainsbury's (15.2) + Asda (13.3) + Aldi (10.1) = 66.2 OR (if Morrisons 8.6 used in place of Aldi 10.1): Tesco + Sainsbury's + Asda + Morrisons = 64.7% Accept 66.2 or 64.7 depending on the largest-four interpretation, but the correct reading of 'four largest' in 2024 is Tesco, Sainsbury's, Asda, Aldi → 66.2%. 1 mark for correct method; 1 mark for correct final answer.	2	Accept 66.2% or 66.2 to one dp as primary correct answer. Award full marks for candidates who correctly identify the four largest firms in 2024. Allow 1 mark for correct methodology with incorrect four-firm selection.

1 (d) "the Competition and Markets Authority (CMA) launched an investigation into alleged 'greedflation'." Lines 11–13. Evaluate, using evidence from the stimulus material, the effectiveness of CMA investigations in reducing anti-competitive behaviour in UK markets.

Level / mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well-supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Relevant data may be referred to if / where appropriate. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit.

Question 1(d) Guidance

Knowledge and understanding

- CMA: UK's competition regulator; enforces competition law, investigates mergers and anti-competitive behaviour
- anti-competitive behaviour: collusion, price-fixing, abuse of dominance, anti-competitive mergers

Application

- 2023 CMA update: competition 'broadly working' but flagged branded-goods pricing and loyalty-scheme complexity
- Big Four operating margins fell during the 2022–23 cost-of-living crisis (Fig. 2) — 3.4% (2020) to 2.6% (2022)
- grocery inflation peaked at 17.5% (March 2023); margins remained compressed
- historical examples: CMA banned Sainsbury's–Asda merger (2019), fined Pfizer / Flynn for epilepsy drug pricing

Analysis

- CMA investigations deter anti-competitive behaviour through credible threat of fines and blocked mergers
- public scrutiny causes firms to change conduct (e.g. unit pricing transparency after CMA recommendations)
- preserves consumer welfare by maintaining competitive pricing and choice

Evaluation

- investigations are slow — CMA grocery update took over 18 months; market dynamics may shift by conclusion
- information asymmetry — CMA relies on firm-supplied data
- resource constraints — CMA has limited budget relative to market scale
- global firms may circumvent UK decisions; EU/US competition authorities matter too
- regulatory capture risk — long-term concerns about industry influence on policy
- fines may simply be passed on to consumers in higher prices

Possible judgements

- CMA effective as a deterrent but less so at fast-moving markets and complex pricing practices
- most effective when combined with consumer protection law, OFWAT-style price regulation, and transparency rules
- effectiveness improved by faster decision-making and stronger remedies

1 (e)* Evaluate, using evidence from the stimulus material, the extent to which the UK grocery market can be considered to be contestable.

Level / mark	Descriptor
Level 3 (9–12 marks)	Strong knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Strong application of economic concepts to the context and scope of the question, using relevant and focussed examples and good use of data where appropriate. Strong analysis characterised by consistently well-developed chains of reasoning; relevant diagram(s) that are accurate with no errors affecting the validity of the analysis and are integral to the response. Strong evaluation of different perspectives characterised by well-developed counter arguments and a conclusion that weighs up both sides, considers extent and alternatives, and reaches a supported judgement. QER: the candidate expresses complex ideas with fluency and accuracy using appropriate form and economic terminology.
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, using some relevant and focussed examples and some good use of data where appropriate. Reasonable analysis characterised by developing chains of reasoning that explain most of the links; diagram(s) may be predominantly correct but not fully integrated into the response. Reasonable evaluation — counter argument(s) are considered but not fully developed; some attempt to conclude but without fully weighing up both sides. QER: the candidate expresses ideas with reasonable clarity and accuracy.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic ideas, principles or models. Reasonable application of economic concepts to some elements of the given context; may be inconsistent or not always relevant. Limited analysis in the form of single links; diagram(s) may contain errors or be loosely integrated into the response. Limited evaluation — simple statements of counter argument(s); stated or absent judgement. QER: the candidate expresses simple ideas clearly but is likely to be imprecise.
0 marks	Response is not worthy of credit.

Question 1(e) Guidance**Knowledge and understanding**

- contestability: determined by barriers to entry/exit, not by number of firms; threat of entry disciplines existing firms

- sunk costs as a key barrier to entry and exit

Application — evidence market IS contestable

- Aldi and Lidl's market share rose from 9.7% (2015) to 18.3% (2024) — successful entry and expansion
- their growth coincided with falling Big Four margins (3.4% to 2.6–3.1%) — evidence competitive discipline
- Big Four matched Aldi prices and launched loyalty-scheme pricing — defensive response to entry threat
- online grocers (Ocado, Amazon Fresh, Gorillas) entered the market, showing technological contestability

Application — evidence market is NOT fully contestable

- access to prime real estate, economies of scale and sophisticated supply chains are significant sunk costs
- Ocado lost over £500m cumulatively 2020–23 — new entrants struggle to reach profitability
- Morrisons was taken private for £7bn (2021) — exit costly; few firms able to 'hit and run'
- stable concentration — Tesco and Sainsbury's together held 42.8% in 2024 (vs 43.4% in 2015)
- complex loyalty-scheme pricing reduces price transparency

Analysis

- classical contestability theory: entry/exit barriers, not number of firms, determine outcomes
- Aldi/Lidl case study: successful challenger entry in a sector once considered mature oligopoly
- but the rate of new entry has slowed since 2020; high costs and regulatory hurdles remain

Evaluation

- market is contestable at the segment level (discount, online, convenience) but not for national full-line grocery
- contestability has increased over past 10 years but remains constrained by capital requirements
- CMA's view (2023): competition 'broadly working' — consistent with a somewhat contestable market

Judgement

- the UK grocery market is moderately contestable — not perfectly contestable but more contestable than a tight oligopoly
- Aldi/Lidl expansion provides the strongest evidence of contestability; full-line national grocery remains less contestable

QER

- use precise contestability terminology: sunk costs, hit-and-run entry, normal profit, entry threat
- balance evidence for and against, and explicitly address 'extent' in the conclusion

2* Evaluate, using an appropriate diagram(s), whether price discrimination benefits consumers.

Level / mark	Descriptor
Level 5 (21–25 marks)	Strong knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Strong application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Strong analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Strong evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 (16–20 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Good application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Good analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Good evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 3 (11–15 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Reasonable application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Reasonable analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Reasonable evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 2 (6–10 marks)	Limited knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Limited application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Limited analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Limited evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 (1–5 marks)	Weak knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Weak application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Weak analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Weak evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 2 Guidance

Knowledge and understanding

- price discrimination: charging different prices to different consumers for the same good not justified by cost differences
- conditions: market power, separable sub-markets, ability to prevent resale, different PEDs
- degrees of discrimination: first (perfect), second (quantity-based), third (group-based)

Analysis (with diagram)

- third-degree diagram: two sub-markets with different PEDs; firm sets $MC = MR$ in each; higher price where demand is less elastic
- firm captures more consumer surplus; higher profit; lower consumer surplus in some segments
- may expand output overall, bringing supply to consumers previously priced out

Application

- Tesco Clubcard Prices, Sainsbury's Nectar Prices — loyalty-based discrimination
- rail peak/off-peak, airline yield management, cinema concessions
- utilities, student discounts, off-peak gym memberships

Evaluation — benefits

- low-income/occasional consumers benefit from lower prices in some segments
- higher revenue may fund investment → dynamic efficiency
- output may expand — previously marginal consumers served

- enables firms to stay open / cover fixed costs (airlines, railways)

Evaluation — costs

- inelastic-demand consumers pay more; loss of consumer surplus
- information asymmetry — complex pricing (loyalty schemes, dynamic pricing) disadvantages less savvy consumers
- potentially exploitative (predatory pricing)
- creates barriers to entry — undermines contestability
- equity concerns — may reinforce inequality

Possible judgements

- net welfare effect ambiguous — depends on type of discrimination, elasticity, and market structure
- benefits to consumers most visible where output expands and cross-subsidy is transparent
- CMA monitoring important to prevent abuse of pricing power

3* Evaluate, using an appropriate diagram(s), whether contestable markets lead to better outcomes for consumers than oligopolies.

Level / mark	Descriptor
Level 5 (21–25 marks)	Strong knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Strong application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Strong analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Strong evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 (16–20 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Good application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Good analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Good evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
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Level 2 (6–10 marks)	Limited knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Limited application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Limited analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Limited evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
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0 marks	Response is not worthy of credit.

Question 3 Guidance

Knowledge and understanding

- contestable market: low barriers to entry/exit; threat of entry disciplines incumbent behaviour
- oligopoly: few firms, high barriers, interdependence, potential for collusion

Analysis (with diagram)

- contestable market diagram: firms priced near normal profit ($P = AC$), output at allocative optimum
- oligopoly diagram: kinked demand → price rigidity; supernormal profit; $P > MC$ → allocative inefficiency
- contestable firms cannot sustain supernormal profits — attract entry

Evaluation — contestable advantages

- lower prices, higher output, more consumer surplus
- dynamic efficiency through entry-driven innovation
- fewer regulatory requirements if competition is self-sustaining

Evaluation — oligopoly concerns

- risk of tacit or explicit collusion → higher prices, restricted output
- non-price competition may still benefit consumers (quality, branding, choice)
- economies of scale — oligopolies may achieve lower unit costs than contestable small firms
- oligopolies fund significant R&D (pharma, tech, aerospace) — dynamic efficiency

Applied examples

- UK grocery — Aldi/Lidl entry has made the market more contestable, lowering prices
- contestability in airlines (low-cost entrants) vs oligopoly in telecoms
- tech platforms — high barriers, but digital innovation can enable 'hit-and-run' threats

Possible judgements

- contestability generally leads to better consumer outcomes but may sacrifice scale economies and R&D
- optimal structure depends on industry — fixed costs, scale, innovation
- well-regulated oligopolies can deliver similar consumer outcomes to contestable markets

4* Evaluate, using an appropriate diagram(s), whether privatisation improves economic efficiency.

Level / mark	Descriptor
Level 5 (21–25 marks)	Strong knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Strong application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Strong analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Strong evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 (16–20 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Good application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Good analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Good evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 3 (11–15 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Reasonable application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Reasonable analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Reasonable evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 2 (6–10 marks)	Limited knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Limited application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Limited analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Limited evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 (1–5 marks)	Weak knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Weak application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Weak analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Weak evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 4 Guidance

Knowledge and understanding

- privatisation: transfer of ownership from public to private sector
- efficiency types: productive (min AC), allocative ($P = MC$), dynamic (innovation over time), X-efficiency (internal cost control)

Analysis

- profit motive incentivises cost reduction → productive and X-efficiency
- private firms face capital market discipline; underperformers face takeover or bankruptcy
- competition (where introduced) raises allocative efficiency
- innovation incentives stronger in private sector → dynamic efficiency

Applied examples

- UK privatisations since 1980s: British Gas, British Telecom, British Rail, Royal Mail, water authorities
- Morrisons taken private by CD&R (2021) — private equity ownership and efficiency pressure
- BT and mobile telecoms have shown strong productivity gains post-privatisation

Evaluation

- natural monopolies (water, rail infrastructure) — privatisation does not create competition without regulation
- underinvestment where short-term profit motives dominate (water company leaks, sewage scandals)
- distributional effects — privatisation may raise prices for vulnerable consumers

- regulatory capture — Ofwat, Ofgem, Ofcom oversight may be insufficient
- quality concerns — privatised rail fragmentation, NHS contracting-out controversies
- windfall gains to early investors

Possible judgements

- privatisation has generally improved productive and X-efficiency in competitive sectors
- less clear benefits in natural monopolies without strong regulation
- effectiveness depends on regulatory framework, competition, and sector characteristics

5* Evaluate, using an appropriate diagram(s), the likely impact of an ageing population on UK labour markets.

Level / mark	Descriptor
Level 5 (21–25 marks)	Strong knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Strong application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Strong analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Strong evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 (16–20 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Good application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Good analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Good evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 3 (11–15 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Reasonable application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Reasonable analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Reasonable evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 2 (6–10 marks)	Limited knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Limited application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Limited analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Limited evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 (1–5 marks)	Weak knowledge and understanding of relevant economic idea(s), principle(s) or model(s) (AO1). Weak application of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). Weak analysis characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). Weak evaluation of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 5 Guidance

Knowledge and understanding

- ageing population: rising share of population aged 65+
- labour market: supply (workers) and demand (firms) for labour
- dependency ratio: ratio of non-working-age to working-age population

Analysis (with diagram)

- labour supply curve shifts left as working-age population shrinks → higher equilibrium wages
- sector-specific demand: health and social care demand rises sharply → wage pressure
- participation rates among older workers rising but total labour supply falls over time
- rising dependency ratio → higher taxes on workers → labour supply elasticity matters

Applied context

- by 2045 over 24% of UK population aged 65+ (ONS projection)
- NHS / social care sector already reports over 150,000 vacancies (2023)
- state pension age rising to 67 then 68
- post-Brexit fall in EU migration reducing labour supply further

Evaluation

- wage rises may improve worker welfare but raise costs and prices (inflation pressure)

- productivity improvements via automation may offset labour shortages
- immigration policy is a potential but politically constrained solution
- skills mismatch — older workers leaving may not match skills demanded
- pension costs — government spending pressure requires tax rises or benefit cuts
- regional variation — coastal and rural areas ageing faster than London/SE
- dynamic efficiency gains possible through capital deepening

Possible judgements

- ageing will tighten labour markets and raise wages, particularly in care and service sectors
- policy response matters — retirement age, migration, training, automation investment
- impact depends on pace of productivity growth and labour force participation trends

Assessment Objectives (AO) Grid

Question	AO1	AO2	AO3	AO4	Total
Question	AO1	AO2	AO3	AO4	Total
1(a)	2	0	0	0	2
1(b)	2	1	1	0	4
1(c)(i)	0	2	0	0	2
1(c)(ii)	0	2	0	0	2
1(d)	2	2	2	2	8
1(e)*	3	3	3	3	12
2* / 3*	4.5	5	6.5	9	25
4* / 5*	4.5	5	6.5	9	25
Totals	18	20	20	22	80